

Introduction to Accounting — PREVIEW

Course: ATD — Accounting Technicians Diploma | Level: Level I

This is a free preview covering the introduction and Section 1 only.

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1. Nature and purpose of accounting

Accounting is the systematic process of recording, classifying, summarising, and interpreting financial transactions of a business so that its financial position and performance can be understood by those who need to make decisions about it.

1.1 Objectives of accounting

- To maintain a permanent, reliable record of every transaction.
- To determine profit or loss for a period.
- To ascertain the financial position (assets, liabilities, capital) at a point in time.
- To provide information for planning, control, and decision-making.
- To satisfy legal and tax reporting obligations.

1.2 Bookkeeping vs accounting

Bookkeeping is the mechanical, day-to-day recording of transactions. Accounting is broader — it includes bookkeeping, but also classification, summarising, analysis, and communication of financial information.

1.3 Users of accounting information

User	Interest
Owner(s)	Profitability and return on their investment
Management	Day-to-day control and performance monitoring
Creditors/suppliers	Ability of the business to pay amounts owed
Government (KRA)	Correct assessment and payment of tax

Unlock the full paper

The complete version includes double entry bookkeeping, books of original entry, the trial balance, cash book and petty cash, correction of errors, an introduction to final accounts, a full worked question,

and a 10-question original self-assessment kit with model answers.

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